EXECUTIVE SUMMARY

I. Introduction

The Municipality of Baggao was once a barrio of Amulung. It became a Municipality on November 27, 1896 by a Royal Decree. Baggao is considered as first (1st) class municipality in the Province of Cagayan, politically subdivided into forty-eight (48) barangays.

It occupies the second biggest land area in the Province of Cagayan. It lies approximately within 17 deg 55 min 12 sec North latitude and 121 deg 58 min 12 sec East longitude. It is bounded on the east by the Pacific Ocean; on the south by the Municipality of Peñablanca; on the north by the Municipality of Gattaran and on the west by the Municipality of Alcala and Amulung. The Municipality is located approximately 57 kilometers from Tuguegarao City, the commercial center of the province.

The Municipality has become famous as a hunting ground. Old folks recount that the Ibanags who frequently hunted in the locale, used to wash their catching in a big mud hole before taking them home which they called "Abbagaoan". This "abbaggaoan" an Ibanag word, meaning a place to wash, became a noted landmark for hunters from which the name of the Municipality eventually originated.

The Municipality of Baggao derives its mandate from Republic Act No. 7160, also known as the Local Government Code of 1991.

Pursuant to Section 16 of Republic Act No. 7160, also known as the Local Government Code of 1991, the Municipality of Baggao, as a Local Government Unit, shall ensure and support, among other things, the preservation and enrichment of culture, promote health and safety, enhance the right of the people to a balance ecology, encourage and support the development of appropriate and self-reliant scientific and technological capabilities, improve public morals, enhance economic prosperity and social justice, promote full employment among its residents, maintain peace and order, and preserve the comfort and convenience of its inhabitants.

II. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Baggao, Cagayan for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and

whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2024, are as follows:

Particulars	2024	2023	Increase (Decrease)
Financial Condition			
Total Assets	1,543,432,411.59	1,413,692,795.05	129,739,616.54
Total Liabilities	305,882,834.80	188,445,572.90	117,437,261.90
Total Government Equity	1,237,549,576.78	1,225,247,222.15	12,302,354.63
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	537,294,661.04	503,776,163.44	33,518,497.60
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	519,456,174.84	434,933,348.69	84,522,826.15
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	616,411,280.76	691,714,968.03	(75,303,687.27)
Appropriations-Continuing	316,374,844.77	361,777,431.46	(45,402,586.69)
Allotments – Current	616,411,280.76	668,036,968.03	(51,625,687.27)
Allotments –Continuing	316,374,844.77	361,777,431.46	(45,402,586.69)
Obligations – Current	527,639,371.11	456,641,661.53	70,997,709.58
Obligations –Continuing	189,857,202.44	198,999,168.43	(9,141,965.99)
Funds Received from Other Agencies			
NGAs	107,377,032.27	13,087,863.70	94,289,168.57
GOCCs	-	-	-
LGUs	-	300,000.00	(300,000.00)
NGO/POs	-	-	-
Others	-	-	-
Total	-	13,387,863.70	(93,989,168.57)
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	**P -**	**P -**	**P -**

IV. Operational Highlights

The Municipality of Baggao is headed by the Municipal Mayor, Honorable Leonardo C. Pattung, and Vice-Mayor, Honorable Rowel B. Gazmen and includes various officers and employees, as follows:

Position/Designation	Number of personnel complements
Elective Officials	12
Co-terminus Employees	5
Permanent Employees	210
Casual Employees	128
Job order Employees	191

In addition, the Municipality of Baggao accomplished 55.44 percent of its significant and developmental projects for Calendar Year 2024, with a total cost of P127,993,483.07.

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Baggao for the year-ended December 31, 2024 because these are materially misstated by an aggregate amount of P33,485,684.42 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Baggao disclosed misstatements totaling P33,485,684.42 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Property Plant and Equipment	P12,014,621.12		P6,792,697.14	P18,807,318.26
Payables		P6,284,353.00		6,284,353.00
Trust Liabilities		8,394,013.16		8,394,013.16
Total	12,014,621.12	14,678,366.16	6,792,697.14	33,485,684.42

VI. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. Property, Plant, and Equipment (PPE) items totaling P1.459 billion as at December 31, 2024 were not reconciled with the Report on Physical Count of PPE totaling P1.458 billion, leaving an unreconciled difference of P1.441 million due to the non-conduct of physical count for the recorded Construction in Progress (CIP).

   We recommended the Management to:

   a. instruct the Inventory Committee to conduct a comprehensive physical inventory of all PPE items, including those currently in progress; and

   b. direct both the GSO and Accounting office to continuously reconcile the results of the physical count of PPE with the accounting records.

2. Desirable social, economic and environmental outcomes for the intended beneficiaries could have been maximized if the utilization of the untapped appropriation of ₱95.157 million under the 20% Economic Development Fund had been suitably planned and monitored.

   We recommended that Management maximize the utilization of the 20% Development Fund by accelerating the implementation of pending projects, identifying the root causes of non-implementation, and developing practical, targeted solutions to ensure the effective execution of developmental initiatives.

3. The Local Disaster Risk Reduction Management Fund (LDRRMF) was not optimally utilized to implement disaster-related PPA incorporated in the LDRRMF Plan, leaving an unutilized balance of P46.009 million, thus defeating the objective of strengthening the resiliency of communities and enhancing disaster preparedness and response capabilities of the municipality and hindered the attainment of the expected benefits intended for the local constituents.

   We recommended that Management instruct MDRRM Officer to evaluate and review the LDRRMF Investment Plan with emphasis on the proper identification and selection of specific priority PPAs to accelerate their implementation and judiciously plan on how to significantly increase the utilization of the LDRRMF to achieve the goals/targets of the municipality regarding disaster relief, recovery, and risk reduction and management.

VII. Summary of total Suspensions, Disallowances and Charges

For the year 2024, the summary of total suspensions, disallowances, and charges shows a beginning balance of zero across all categories, with no new suspensions, disallowances, or charges issued. As a result, the ending balance for each category remained zero.

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2024 Annual Audit Report is summarized as follows:

Implemented		30
Not Implemented	8	
Not Implemented and restated in Part II of this report	5	13
TOTAL		**43**